

General Knowledge

Indian Polity

STUDY NOTES

Local-self Government- Panchayati Raj



Local-self Government - Panchayati Raj



Introduction

- **Panchayati Raj Institutions (PRIs)** are systems of **rural local self-governance** in India.
- **Local self-governance** refers to the management of local affairs by **local bodies** elected by the people of the area.
- **PRIs** were institutionalized through the **73rd Constitutional Amendment Act, of 1992**, to establish **democracy at the grassroots level** and support **rural development** in India.
- Despite completing **26 years** of existence in their current form, much progress is needed to deepen **decentralization** and strengthen **grassroots democracy**.

Evolution of Panchayati Raj in India

Vedic Era:

- The term "**Panchayat**" is mentioned in ancient **Sanskrit scriptures** and refers to a group of five individuals, typically including a **spiritual leader**.
- Over time, the inclusion of a **spiritual figure** in these groups faded.
- The **Rigveda** mentions **Sabha**, **Samiti**, and **Vidatha** as **local self-governance units**.

- These **democratic bodies** operated at the **local level**, and **kings** sought their approval for specific decisions and actions.

Epic Era:

- The era of the **Ramayana** and **Mahabharata** illustrates the division of administration into **Pur** (urban) and **Janpad** (rural) areas.
- During this period, **caste panchayats** existed, and their **elected representatives** were part of the king's **council of ministers**.
- **Village self-governance** is referenced in the '**Shanti Parva**' of the **Mahabharata**, **Manu Smriti**, and **Kautilya's Arthashastra**.
- The **Mahabharata** describes a hierarchy of village groups governed by officials:
 - **Gramik** (village head)
 - **Dashap** (leader of ten villages)
 - **Vinshya Adhipati** (leader of twenty villages)
 - **Shat Gram Adhyaksha** (leader of a hundred villages)
 - **Shat Gram Pati** (leader of a thousand villages)
- These officials managed **local taxation** and **village defense**.

Ancient Period:

- **Village panchayats** are mentioned in **Kautilya's Arthashastra**, with towns referred to as **Pur** and governed by **Nagariks** (city chiefs).
- **Local governance** operated independently of **royal interference**.
- During the **Mauryan** and **Post-Mauryan periods**, village governance was led by a **headman** and a **council of elders**.
- This structure continued during the **Gupta period**, with changes in official titles:
 - The district official was known as **Vishya Pati**
 - The village headman was called **Grampati**
- **Women's participation** in these **panchayats**, either as leaders or members, is notably absent in historical references.

Medieval Period:

- During the **Sultanate era**, villages were governed by three key officials:
 - **Mukkaddam** (administrator)
 - **Patwari** (revenue collector)
 - **Choudhri** (dispute resolver with assistance from the **Panch**)
- Villages retained some **autonomy** in **self-governance**.
- However, the rise of **casteism** and **feudalism** under **Mughal rule** weakened **village self-governance**.
- There is no evidence of **women's involvement** in **local governance** during this period.

British Period:

- Under **British rule**, **village panchayats** lost their **autonomy** and became significantly **weakened**.
- The **1870 Mayo's Resolution** introduced **representative local institutions** and delegated responsibilities to them.
- Following the **1857 revolt**, financial strain on the **British government** led to **local taxation** and **decentralization initiatives**.
- **Lord Rippon's 1882 resolution** provided a **democratic framework** for **local governance**, mandating **elected representatives** and **non-official chairpersons**. It is considered the **Magna Carta of local democracy in India**.
- The **Royal Commission on Decentralization (1907)**, chaired by **C.E.H. Hobhouse**, emphasized the importance of **village panchayats**.
- The **Montagu-Chelmsford Reforms (1919)** transferred **local government** to **provinces** and encouraged greater **autonomy** for local bodies.
- By **1925**, **eight provinces** and **six princely states** had passed **Panchayat Acts**, though **local self-governance** remained limited in **scope and functionality**.

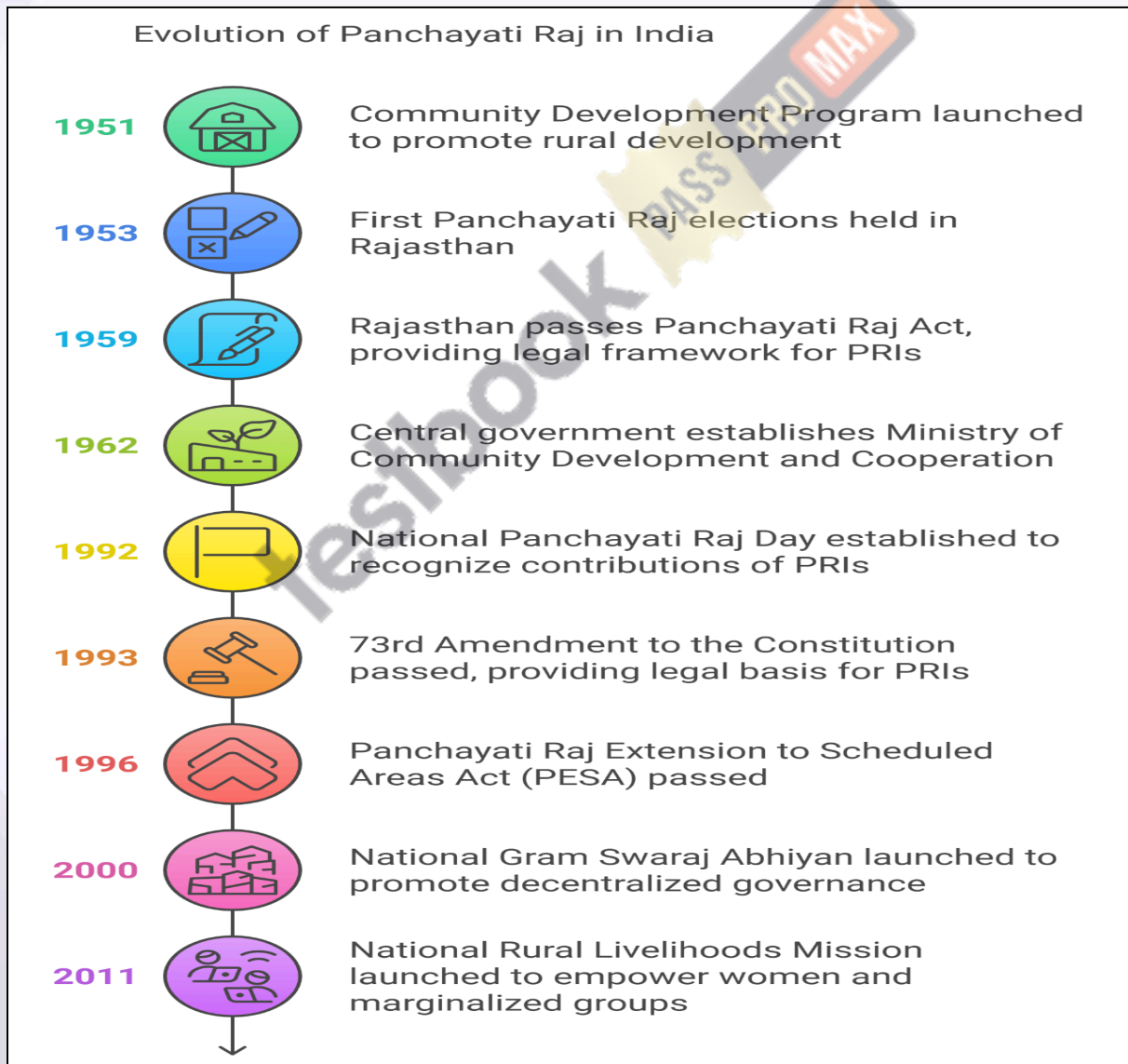
Post-Independence Period

- After the implementation of the Constitution, **Article 40** highlighted the concept of **panchayats**, while **Article 246** granted **state legislatures** the authority to legislate on **local self-governance**.

- The inclusion of **panchayats** in the Constitution faced significant **opposition**, with **B.R. Ambedkar** expressing **reservations** about their incorporation.
- **Panchayats** were included under **Article 40** as part of the **Directive Principles of State Policy** after extensive debates.
- Since the **Directive Principles** are **not enforceable by law**, there was no **uniformity** in the structure of **panchayats** across the country.
- Post-independence, **India launched the Community Development Programmes (CDP)** on **Gandhi Jayanti, on October 2, 1952**, inspired by the **Etawah Project** led by **Albert Mayer**.
- The **CDP** aimed to cover **rural development activities**, with **village panchayats** playing a key role alongside **community participation**.
- The **National Extension Service** was introduced in **1953** as a precursor to the **CDP** to facilitate its objectives.
- The **CDP** faced challenges, including:
 - **Bureaucratic hurdles**
 - **Excessive political interference**
 - **Lack of public involvement**
 - **Insufficiently trained staff**
 - **Disinterest from local governing bodies like panchayats**
- To evaluate the issues with the **CDP**, the **National Development Council** formed a committee in **1957**, headed by **Balwant Rai Mehta**.
- The **Balwant Rai Mehta Committee** identified a **lack of public participation** as a primary reason for the **CDP's failure** and recommended a **three-tier Panchayati Raj system**:
 - **Grama Panchayats** (village level)
 - **Panchayat Samitis** (block level)
 - **Zilla Parishads** (district level)
- Following these recommendations, **Rajasthan** became the first state to implement the **democratic decentralization scheme** on **October 2, 1959**, followed by **Andhra Pradesh** on **November 1, 1959**.
- States like **Assam, Gujarat, Karnataka, Madhya Pradesh, Maharashtra, Odisha, and Punjab** enacted legislation to establish **Panchayati Raj Institutions**.

- In **1977**, the **Ashok Mehta Committee** recommended a **two-tier Panchayati Raj system**:
 - **Zilla Parishads**
 - **Mandal Panchayats**
- With districts serving as the starting point for **decentralization** below the state level.
- Based on the **Ashok Mehta Committee's recommendations**, states like **Karnataka** successfully implemented these reforms.
- Over the years, the **Government of India** established several committees to **revitalize and strengthen the Panchayati Raj system**.

Timeline of Key Events



Some important committees, which recommended Local Self-Governments, are given below:

- **Balwant Rai Mehta Committee (1957):** Recommended the establishment of a three-tier Panchayati Raj system at village, intermediate, and district levels, with financial resources and decision-making powers to address local issues.
- **Ashok Mehta Committee (1977):** Suggested enhancing the powers and resources of PRIs, making them responsible for planning and executing development projects at the grassroots level.
- **G.V.K. Rao Committee (1985):** Advocated for greater autonomy for PRIs, making them accountable to local communities, and recommended empowering them to levy taxes and fees.
- **L.M. Singhvi Committee (1986):** Emphasized the need for constitutional recognition and a legal framework for Panchayati Raj Institutions and urban local bodies to strengthen local self-governance in India.
- **P.K. Thungon Committee (1989):** Recommended granting constitutional recognition to local government institutions.
- **Second Administrative Reforms Commission (2007):** Advocated for adhering to the principle of subsidiarity and suggested clearly defining functions for each tier of local government to improve efficiency and accountability.

Salient Features of the Constitution 73 and 74 Amendments

- The Constitution was amended to introduce two new parts: **Part IX** ("The Panchayats") added by the **73rd Amendment** and **Part IXA** ("The Municipalities") added by the **74th Amendment**.
- **Gram Sabhas** (for villages) and **Ward Committees** (for municipalities) are the basic democratic units, including all adult members registered as voters.
- A **three-tier Panchayati Raj structure** was established at the **village, intermediate (block/taluk/Mandal), and district levels**, with an exception for states with a population below **20 lakhs (Article 243B)**.
- All seats in **Panchayati Raj institutions** are to be filled through **direct elections (Article 243C(2))**.
- **Reserved seats** are provided for **Scheduled Castes (SCs), Scheduled Tribes (STs), and chairpersons**, proportional to their population.

- **One-third of the total seats** are reserved for **women**, including **SCs and STs**, and **one-third of chairperson positions** are reserved for women (**Article 243D**).
- **Panchayats** are granted a **five-year tenure**, and elections must be conducted before their term ends or within **six months** if dissolved (**Article 243E**).
- An independent **State Election Commission** is mandated to oversee, direct, and control electoral rolls and conduct elections (**Article 243K**).
- **Panchayats** are entrusted with preparing **plans for economic development and social justice** concerning subjects in the **Eleventh Schedule** (**Article 243G**).
- The **74th Amendment** mandates a **District Planning Committee** to consolidate plans made by **Panchayats and Municipalities** (**Article 243ZD**).
- **Panchayats** receive funding through:
 - **State government budgetary allocations.**
 - **A share of tax revenue.**
 - **Revenue collected and retained by them.**
 - **Central government programs.**
 - **Grants from the Union Finance Commission** (**Article 243H**).
- Each state must establish a **State Finance Commission** to ensure adequate financial resources for **Panchayats and Municipalities** (**Article 243I**).
- The **Eleventh Schedule** lists **29 functional areas** under **Panchayati Raj institutions**.
- Certain regions are **exempted** from the Act, including:
 - **Scheduled Areas** under the **Fifth Schedule** in states like **Andhra Pradesh, Bihar, Gujarat, Himachal Pradesh, Madhya Pradesh, Maharashtra, Odisha, and Rajasthan.**
 - **Nagaland, Meghalaya, and Mizoram.**
 - **Hill areas of the Darjeeling district**, are governed by the **Darjeeling Gorkha Hill Council.**
- The **Provisions of Panchayats (Extension to the Scheduled Areas) Act, 1996 (PESA Act)** was enacted to extend **Panchayati Raj** to **Scheduled Areas**.

PESA Act of 1996

- The provisions of **Part IX of the Constitution** do not apply to the **Fifth Schedule areas**.
- **Parliament** is authorized to extend **Part IX** to these areas, with **modifications and exceptions** as it deems necessary.
- Based on this authority, **Parliament** enacted the **Provisions of the Panchayats (Extension to the Scheduled Areas) Act**, widely known as the **PESA Act** or the **Extension Act**.

Objectives of the PESA Act

- To extend the applicability of **Part IX of the Constitution** to **Scheduled Areas**.
- To establish **self-governance** for **tribal communities**.
- To facilitate **village-level governance** based on **participatory democracy**.
- To promote **governance mechanisms** aligned with **traditional tribal practices**.
- To protect and uphold the **traditions and customs** of **tribal populations**.
- To empower **panchayats** with **authority tailored to meet tribal needs**.
- To prevent **higher-level panchayats** from encroaching on the powers and authority of **lower-level panchayats**.
- These **constitutional initiatives** by the **Union and state governments** have led to the establishment of what is termed as '**multi-level federalism**' in India.
- The **amendments** have significantly expanded the **democratic foundation** of **India's political system**.
- Before these **amendments**, the **democratic framework** through **elected representatives** was confined to the two houses of **Parliament**, **state legislatures**, and certain **union territories**.
- The introduction of this system has brought **governance** and **grievance redressal mechanisms** closer to the **grassroots**.
- However, **challenges** persist within the system, which, if effectively addressed, can create an environment that fosters respect for **basic human rights**.

Articles 243 to 243O, which relate to the Panchayats in the Indian Constitution

Article	Provision	Key Points
243	Definitions	Defines terms like 'Panchayat,' 'Panchayat area,' 'village,' and 'Gram Sabha.'
243A	Gram Sabha	Constitution of Gram Sabhas for every village, comprising persons registered in the electoral rolls.
243B	Constitution of Panchayats	Mandatory establishment of Panchayats at the village, intermediate, and district levels.
243C	Composition of Panchayats	Provisions for the composition of Panchayats, ensuring seats for Scheduled Castes, Scheduled Tribes, and proportional representation.
243D	Reservation of seats	Reservation of seats for SCs, STs, and women (not less than one-third) in Panchayats.
243E	Duration of Panchayats	Five-year term for Panchayats from the date of the first meeting.
243F	Disqualifications for membership	Specifies disqualifications for Panchayat membership as per State Legislature provisions.
243G	Powers, authority, and responsibilities	Powers and responsibilities of Panchayats regarding the preparation of plans and implementation of schemes for economic development and social justice.

243H	Powers to impose taxes	Panchayats can levy, collect, and appropriate taxes, duties, tolls, and fees as per State Legislature.
243I	State Finance Commission	State Finance Commission reviews financial positions of Panchayats and makes recommendations every five years
243J	Audit of Panchayat accounts	Audit of Panchayat accounts as per State Legislature.
243K	Elections to Panchayats	Superintendence, direction, and control of Panchayat elections vested in the State Election Commission.
243L	Application to Union Territories	Provisions of Part IX (Panchayats) apply to Union Territories as per Presidential order.
243M	Part not to apply in certain areas	Exemption of specific areas like Scheduled Areas, Tribal Areas, and some states from Panchayat provisions (with certain exceptions).
243N	Continuance of existing laws and Panchayats	Existing laws related to Panchayats remain valid for one year until amended or repealed by the Legislature.
243O	Bar to interference by courts	Courts are prohibited from interfering in Panchayat election matters, except by way of an election petition as provided by the State Legislature.

Issues

- **Inadequate Funding:** Panchayats face severe financial constraints and need mechanisms to generate their own revenue to achieve financial independence.

- **Interference by Legislators:** Frequent intervention by local MPs and MLAs disrupts the functioning of Panchayats, negatively impacting their performance and decision-making processes.
- **Insufficient Devolution of Power:** Although the 73rd Amendment established local bodies, the delegation of powers, functions, and finances was left to the discretion of state legislatures, limiting the effectiveness of Panchayati Raj Institutions (PRIs).
- **Discretionary Transfer of Responsibilities:** State legislatures were not required to transfer key responsibilities, such as those related to education, health, and water, leading to inconsistent devolution of functions.
- **Minimal Progress Over Decades:** Even after 26 years of the 73rd Amendment, most states have transferred only a few functions to PRIs, limiting their role in governance.
- **Dominance of State Authorities:** Functions not devolved to PRIs continue to be managed by state executive bodies, such as water boards, undermining the role of local governance.
- **Limited Revenue Powers:** PRIs cannot impose taxes without state legislature approval, a power that most states have not delegated.
- **Non-Binding Revenue Sharing:** While State Finance Commissions suggest revenue-sharing arrangements between states and PRIs, these recommendations are not obligatory, resulting in inadequate financial transfers.
- **Structural Weaknesses:** PRIs lack essential infrastructure, such as secretarial support and technical expertise, which hampers efficient local governance and planning.
- **Weak Accountability Mechanisms:** Despite provisions for reserved representation of women and SC/STs, issues like proxy representation ("Panch-Pati") and weak accountability systems continue to affect PRIs even after decades of implementation.

Suggestions

- **Need for Fiscal Federalism:** Genuine fiscal federalism, incorporating both financial autonomy and accountability, is crucial for the long-term viability of Panchayati Raj Institutions (PRIs). Without it, PRIs risk becoming inefficient and unsustainable.
- **2nd ARC Recommendations:** The 6th report of the 2nd Administrative Reforms Commission (ARC), titled *"Local Governance - An Inspiring Journey into the Future,"* emphasized the importance of clearly defining functions for each tier of government.
- **Activity Mapping:** States should implement "activity mapping," which specifies the roles and responsibilities of various government tiers for subjects under Schedule XI, ensuring greater accountability to the public.

- **Uneven Development:** While states like Karnataka and Kerala have made significant progress in decentralization and functional clarity, overall advancements across the country remain inconsistent.
- **Grassroots Planning:** Emphasis must be placed on bottom-up planning, particularly at the district level, with active participation from Gram Sabhas to reflect local needs and priorities.
- **Dedicated Bureaucratic Support:** Karnataka's establishment of a separate bureaucratic cadre for Panchayats, ending the practice of deputing officials who dominate elected representatives, should be adopted by other states to enhance local governance.
- **Encouraging Devolution:** The central government should provide financial incentives to states that effectively devolve functions, finances, and functionaries to PRIs.
- **Capacity Building:** Training programs for Panchayat representatives are essential to equip them with the skills and knowledge required for effective policy-making and implementation.
- **Social Empowerment:** Political empowerment through reservations must be complemented by social empowerment to address issues such as proxy representation.
- **Eligibility Standards:** States like Rajasthan and Haryana have introduced minimum qualification requirements for Panchayat elections. Similar standards should apply to MLAs and MPs, along with efforts to ensure universal access to education.
- **State Finance Commission Compliance:** Strong mechanisms must be established to ensure states adhere to constitutional provisions, particularly regarding the appointment and implementation of recommendations by State Finance Commissions.